

The concept of generating revenues prior to a film's release is referred to as pre-sales, and the profits are termed table profits. Says Siddharth Roy Kapur, vice-president, marketing and distribution, UTV: "People are realising now that film content can be leveraged. New avenues like the Internet, surface transport rights, air transport rights and mobile rights have a lot of potential." While bigger studios have their own ecosystem—from production, music, home video, distribution and even exhibition—and may not pre-sell various rights, for those who prefer to hedge their risks, the option of pre-selling different pieces of a film has come as a big boon. For instance, Adlabs made *Namaste London* for Rs 21 crore, but sold the rights to Eros International for Rs 35 crore, as it was not sure if it could make that much money on the film. *Partner*, produced by Sohail Khan for Rs 22 crore, recovered Rs 42 crore by way of domestic and overseas box office collections, but its music and home video rights were sold for Rs 5 crore and the satellite rights fetched Rs 8 crore. Says Jyoti Deshpande, CEO, Eros International, which has become a big aggregator of film rights: "Today, film-makers are selling films to big corpo-



rates, which have the distribution infrastructure to book profits. Exploitation of different channels is a science and requires muscle power."

Overseas rights are another big piece of the pre-selling pie. Today, they account for at least 20 per cent of any film's gross revenues. Unlike in the past, this segment can now make or break a film's profit books. For instance, *Kabhi Alvida Naa Kehna* (KANK) and *Salaam-e-Ishq* did better business overseas than they did in India.

Pre-selling need not start after the film's completion; it can happen at the scripting stage itself. Says Navin Shah of P9, a division of Percept, which enters the fray at this stage, "A film can be monetised in three new ways: in-film product placement, associative marketing licensing and merchandis-

APNE

Production cost: **Rs 22 cr**

Total revenue: **Rs 46 cr**

Domestic B.O. revenue: **Rs 19 cr**

Overseas revenue: **Rs 15 cr**

PRE-SALE REVENUE

Satellite TV rights: **Rs 10 cr**

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Production cost: **Rs 11 cr**

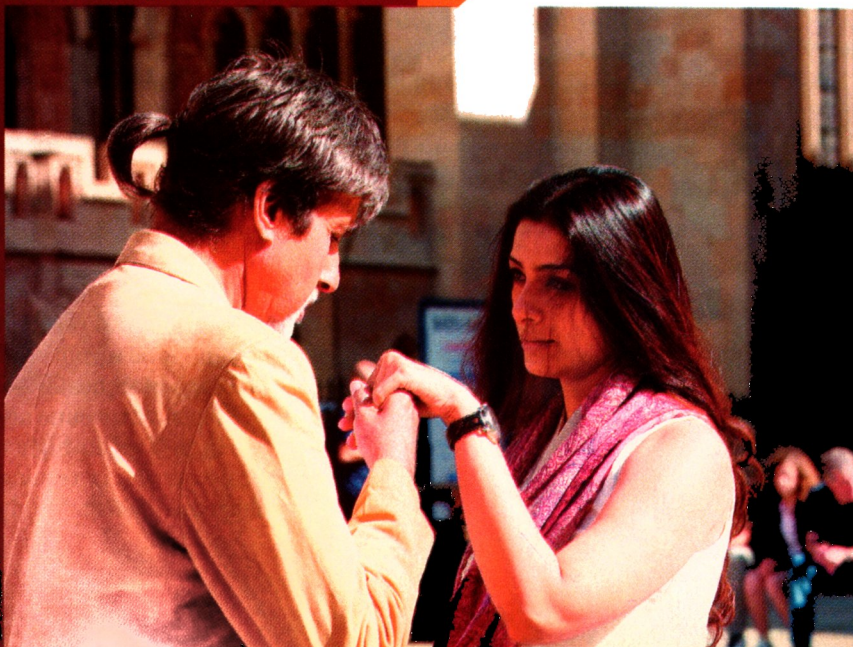
Total revenue: **Rs 31.75 cr**

Domestic B.O. revenue: **Rs 15.5 cr**

Overseas revenue: **Rs 5 cr**

PRE-SALE REVENUE

Satellite TV rights: **Rs 8 cr**



ing." While the first has been around for a while, associative marketing is a new concept allowing a brand to be given footage prior to the film's release, with a campaign woven around the theme of the footage. While small films like *Pyaar Ke Side Effects* tied up with a consumer brand to offset their promotion costs, in the case of *Krishh* and *Don*, the company involved paid the filmmaker to use the footage and associate it with the film. A case in point is Abhishek Bachchan's commercial for Minto, which used footage from his film *Kuch Naa Kaho*.

Merchandising, which is still nascent in India, accounts for less than 1 per cent of the total revenues. Having tasted blood with *Hanuman* and *Krishh*, producers are now getting serious about this business as well. Rakesh Roshan sold *Krishh*'s merchandising rights for almost Rs 1 crore. Merchandise associated with the film worth Rs 6 crore was sold in India. *Tara Rum Pum* and the yet-to-be-released *Heyy Baby* have tied up with multiple retailers for merchandising deals. For *Heyy Baby*, producer Sajid Nadiadwala has struck deals with four different product companies.